Marketing in a Digital Era

Lecture 5

Dr. Anshu Suri

Assignment Discussion

- **4 to 5 members**
- **AI & Smart Technologies sector- one-year marketing plan**
- One country

Exam (60% of your grade)

- No MCQ; all open-ended

Product/Market Expansion Grid

- Product Development: Offering modified or new products to current markets
- Diversification: Starting up or buying businesses beyond its current products or markets



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Assignment Discussion

- **Situational Analysis**
- **Objectives**
- **Strategy**
- **Tactics**

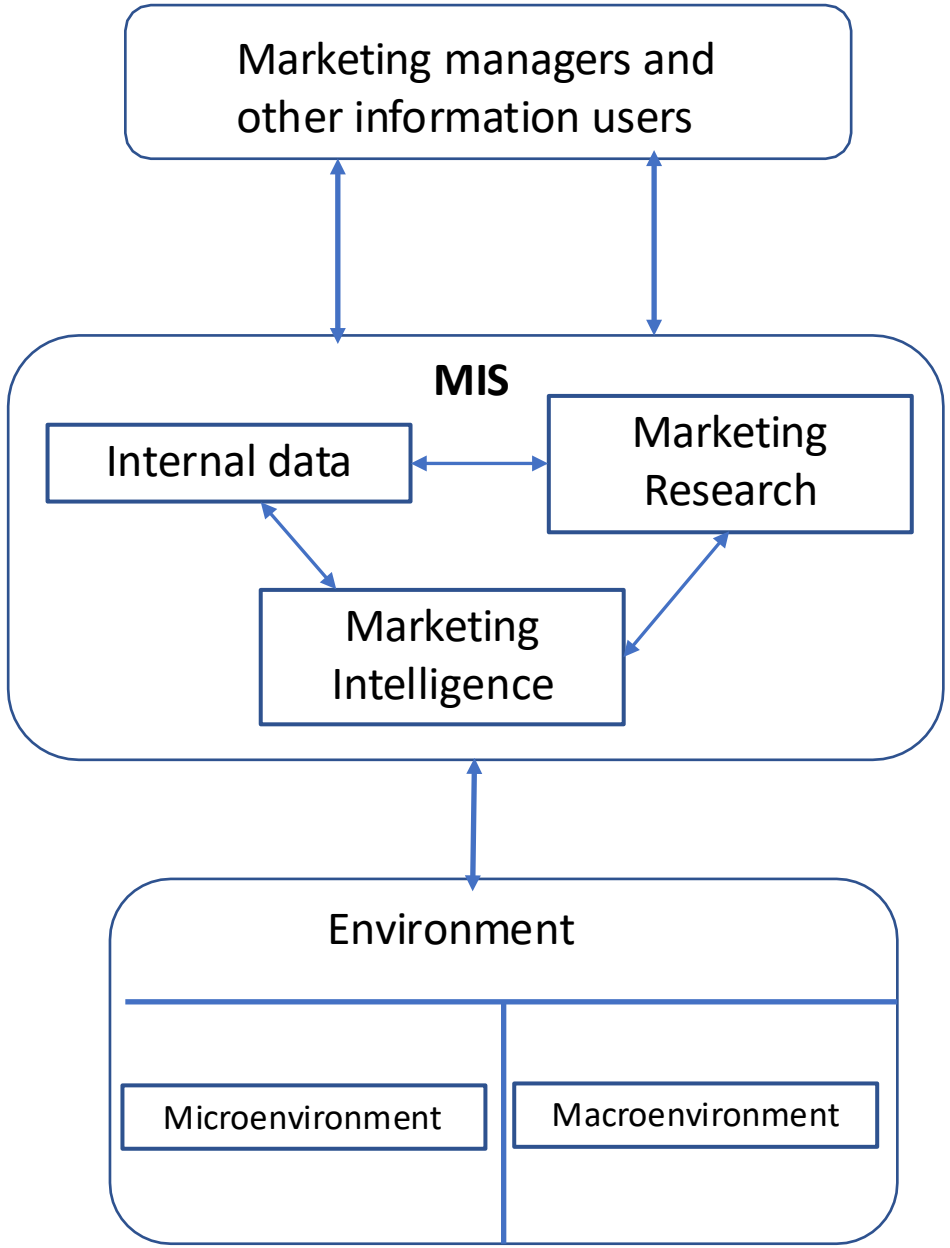

CityNews



MARKETING INFORMATION SYSTEM (MIS)

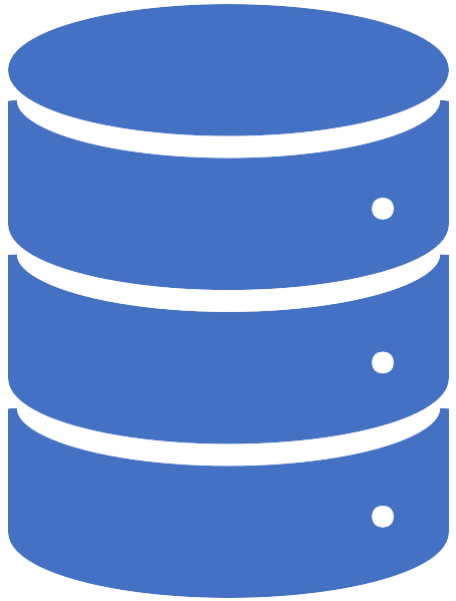
What is MIS?

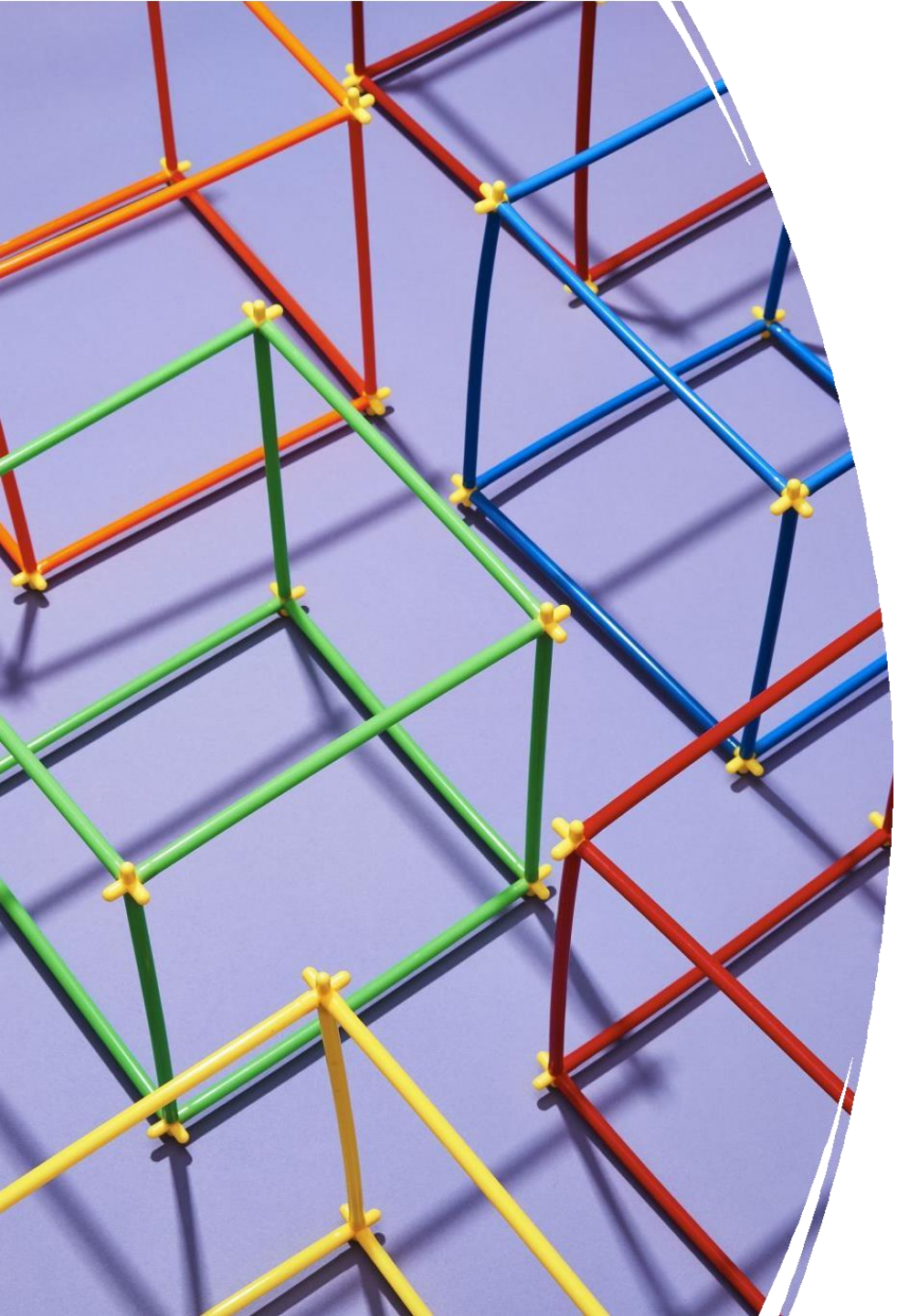
- A set of resources and procedures for collecting and analyzing data from the organization and its environment, and transforming it into useful information that will be used in marketing decision-making



MIS components

- Internal data collection and analysis system
  - Data gathered by the company internally
  - E.g., Sales data (orders, invoices, deliveries, returns), customer database (e.g., Salesforce data)
- Marketing research
  - Function that links the consumer, customer, and public to the marketer through information – information used to identify and define marketing opportunities and problems; generate, refine, and evaluate marketing actions; monitor marketing performance; and improve understanding of marketing as a process (AMA, 2004)
- Marketing intelligence
  - Collects external secondary data concerning the company's environment
  - Data on industries, competitors, laws and regulations, etc.





Primary Data

- Collected to need a specific information need in the organization

- Gathered via
  - Individual interviews
  - Focus groups
  - Observation
  - Experimentation
  - Surveys



Secondary Data

- Internal
  - Sales data from within the company,
  - Customer database, etc.

  OR

- External (collected by a third-party)
  - Private e.g., market research reports sold by AC Nielsen, eMarketer, etc.
  - Public e.g., governments, annual reports, libraries, automated databases, etc.



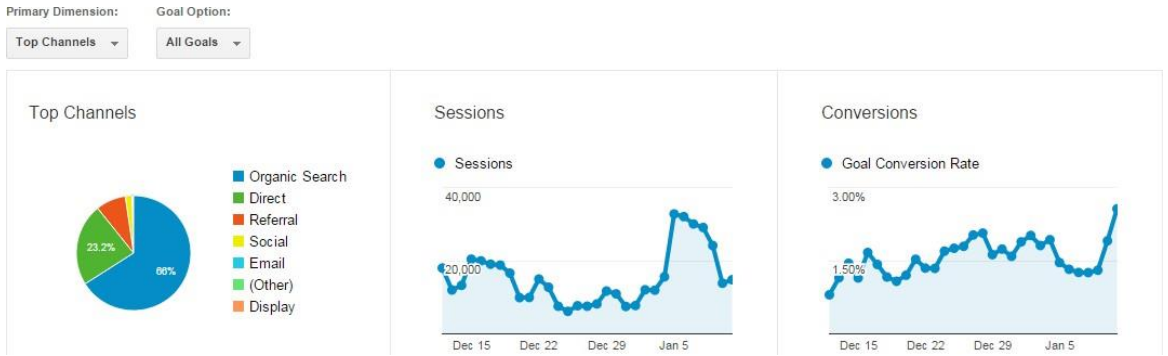
Types of Market Research

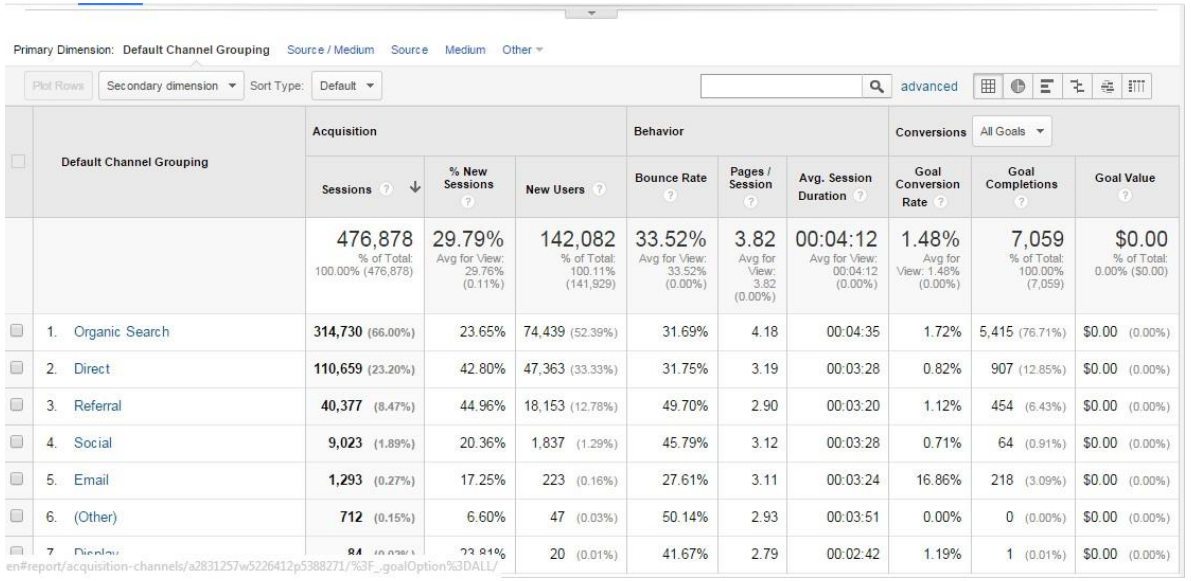
- Explorative research
  - Used for understanding issues, problems
  - Unstructured research method
  - Uses secondary data, observation & qualitative research
- Descriptive research
  - Conduct a study for a specific purpose, with clear objectives
  - Semi-structured or structured research method
  - Uses secondary data, qualitative research, observation or surveys; surveys are popular
- Causal research
  - Investigation of cause-and-effect relationship
  - Method: experiments
  - Structured research method



Digital Marketing

Advantages of Online Marketing: Traceability





Primary Dimension: Default Channel Grouping | Source / Medium | Source | Medium | Other

Plot Rows | Secondary dimension | Sort Type: Default | advanced

	Default Channel Grouping	Acquisition			Behavior			Conversions All Goals		
		Sessions	% New Sessions	New Users	Bounce Rate	Pages / Session	Avg. Session Duration	Goal Conversion Rate	Goal Completions	Goal Value
		476,878 % of Total: 100.00% (476,878)	29.79% Avg for View: 29.76% (0.11%)	142,082 % of Total: 100.11% (141,929)	33.52% Avg for View: 33.52% (0.00%)	3.82 Avg for View: 3.82 (0.00%)	00:04:12 Avg for View: 00:04:12 (0.00%)	1.48% Avg for View: 1.48% (0.00%)	7,059 % of Total: 100.00% (7,059)	$0.00 % of Total: 0.00% ($0.00)
1.	Organic Search	314,730 (66.00%)	23.65%	74,439 (52.39%)	31.69%	4.18	00:04:35	1.72%	5,415 (76.71%)	$0.00 (0.00%)
2.	Direct	110,659 (23.20%)	42.80%	47,363 (33.33%)	31.75%	3.19	00:03:28	0.82%	907 (12.85%)	$0.00 (0.00%)
3.	Referral	40,377 (8.47%)	44.96%	18,153 (12.78%)	49.70%	2.90	00:03:20	1.12%	454 (6.43%)	$0.00 (0.00%)
4.	Social	9,023 (1.89%)	20.36%	1,837 (1.29%)	45.79%	3.12	00:03:28	0.71%	64 (0.91%)	$0.00 (0.00%)
5.	Email	1,293 (0.27%)	17.25%	223 (0.16%)	27.61%	3.11	00:03:24	16.86%	218 (3.09%)	$0.00 (0.00%)
6.	(Other)	712 (0.15%)	6.60%	47 (0.03%)	50.14%	2.93	00:03:51	0.00%	0 (0.00%)	$0.00 (0.00%)
7.	Display	84 (0.02%)	23.81%	20 (0.01%)	41.67%	2.79	00:02:42	1.19%	1 (0.01%)	$0.00 (0.00%)

Advantages of Online Marketing: A/B Tests

- Test different versions of websites/emails etc. with measurable results



sitthiphong/Shutterstock

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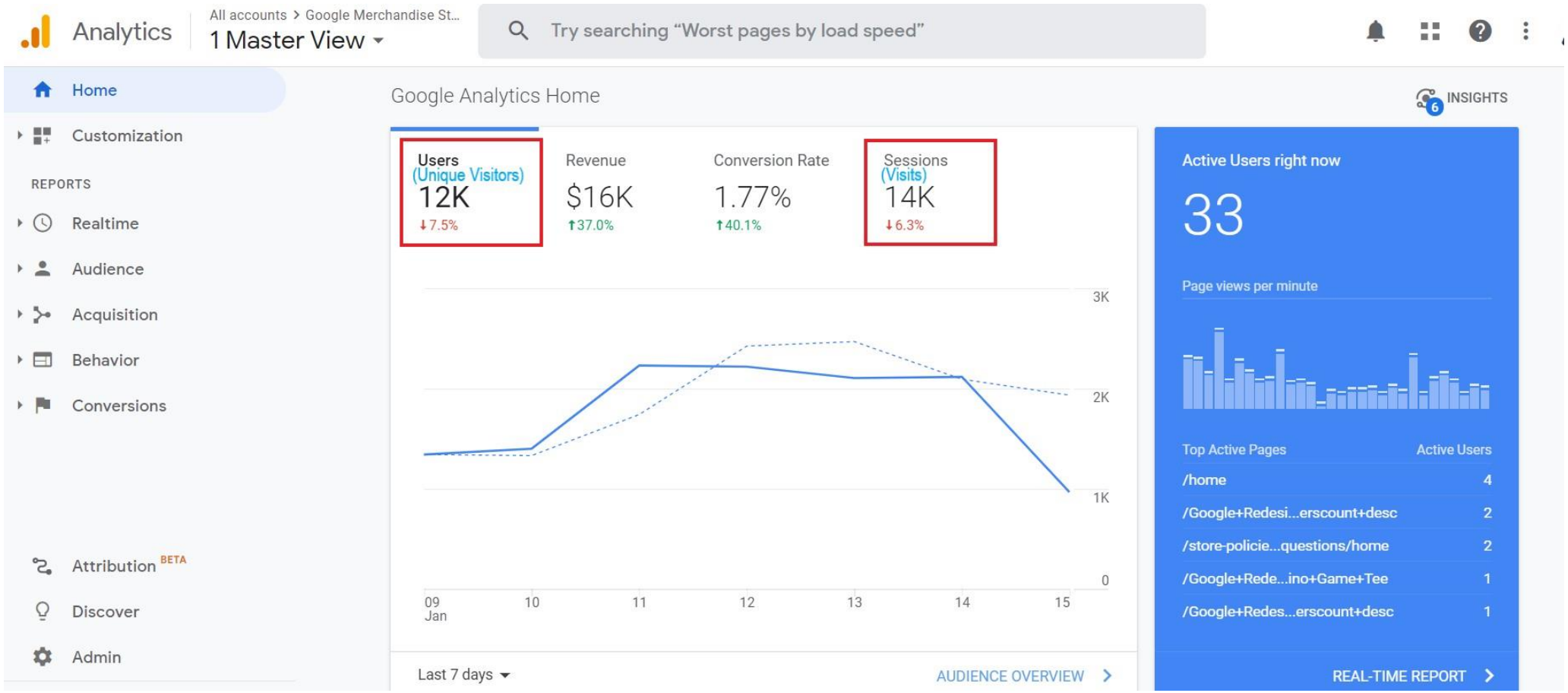


Example: Google Analytics

- Visitor: refers to a user who visits a website. However, a visitor is **not considered as a single person** but as a **browser** or a **terminal**

  New visitor: a visitor who enters your site for the first time
- Session: **group of user interactions with your website that take place within a given time frame**
- **Returning visitor**: a visitor who has been to your site before. Note: Google sets a 2-year expiration date on new visitors.
- **Unique visitor**: number of unduplicated visitors to your website over the course of a specific time period
- **Bounce rate(BR)**: proportion of visitors to a page or site who exit after visiting **a single page only**

Bounce Rate = Single Page Visits / Total Visits


Analytics
All accounts > Google Merchandise St...
1 Master View
Try searching "Worst pages by load speed"
Home
Customization
REPORTS
Realtime
Audience
Acquisition
Behavior
Conversions
Attribution BETA
Discover
Admin
Google Analytics Home
INSIGHTS
Users (Unique Visitors) 12K ↓7.5%
Revenue $16K ↑37.0%
Conversion Rate 1.77% ↑40.1%
Sessions (Visits) 14K ↓6.3%
3K
2K
1K
0
09 Jan
10
11
12
13
14
15
Last 7 days
AUDIENCE OVERVIEW
Active Users right now
33
Page views per minute
Top Active Pages
Active Users
/home 4
/Google+Redesi...erscount+desc 2
/store-policie...questions/home 2
/Google+Rede...ino+Game+Tee 1
/Google+Redes...erscount+desc 1
REAL-TIME REPORT

RACE Framework



Inbound Marketing	Outbound Marketing
Two-way	One-way
Rising	Dying
Cheaper	Expensive
Unobtrusive	Obtrusive



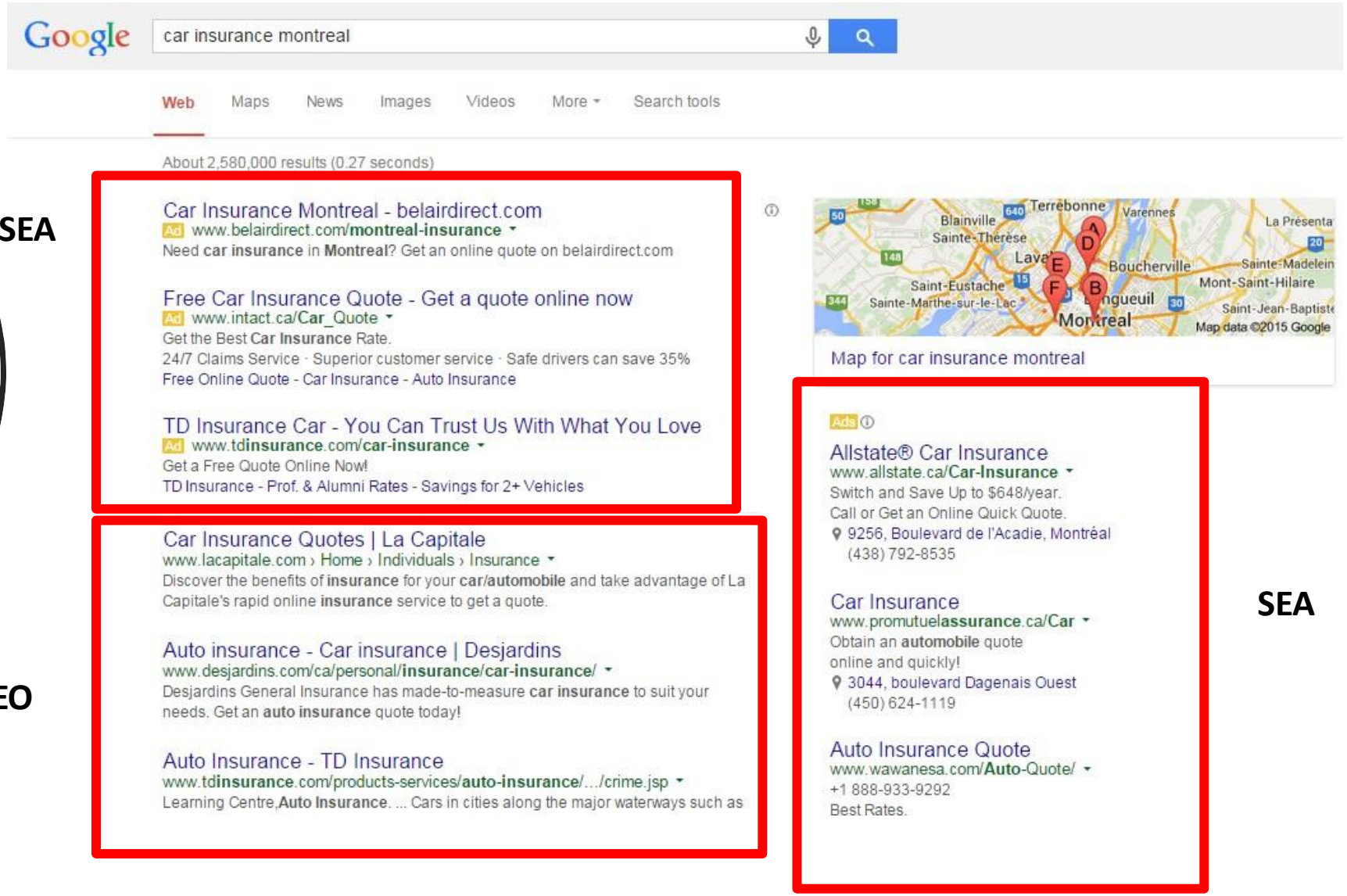
Source: Performance Media

SEO vs. SEA

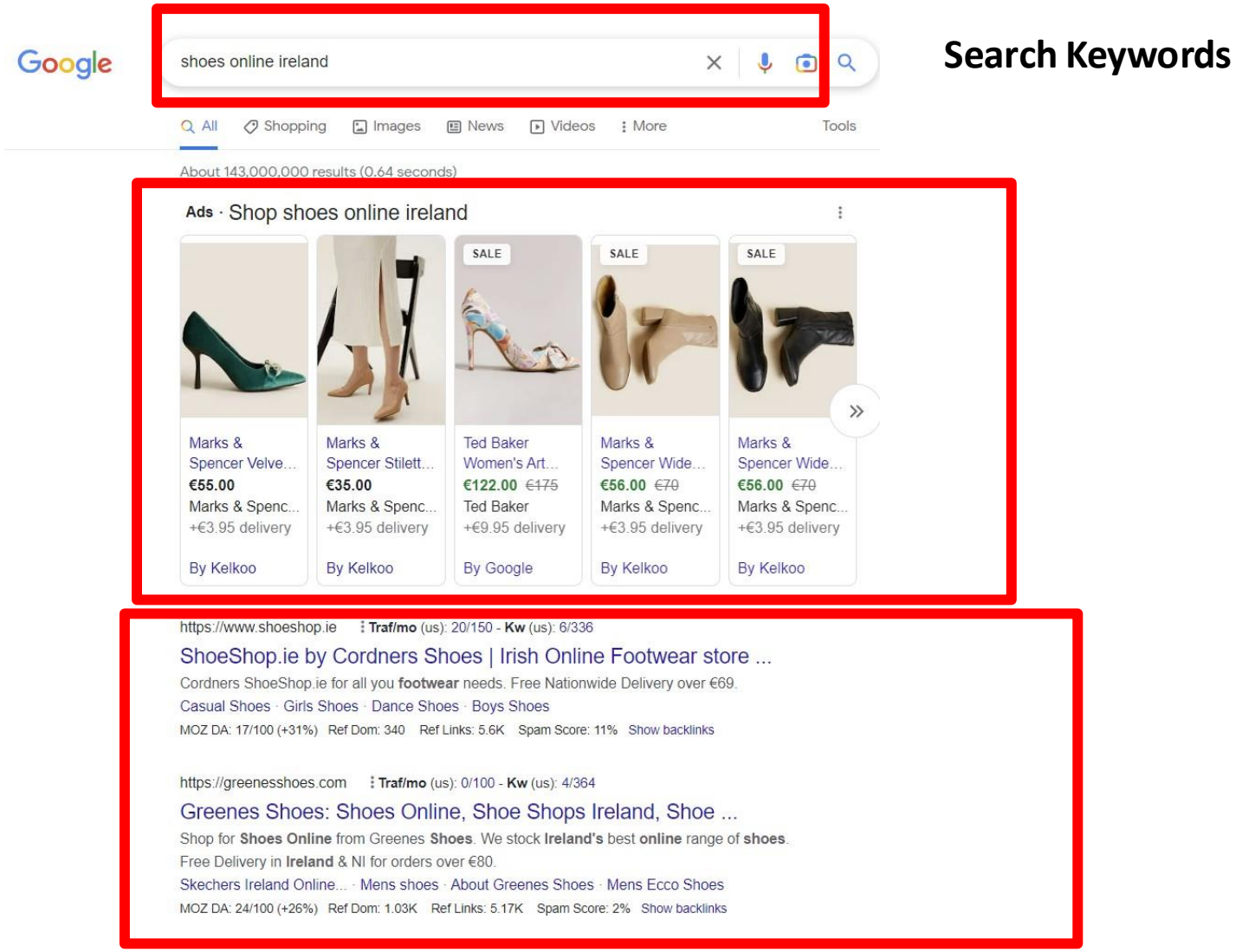
How Search Engines Work



Search Engine Results Page (SERP)



Example



Search Keywords



Search Engine Optimization (SEO)

- Impact the online visibility of a website or a web page in a web search engine's **unpaid results**—often referred to as "natural", "organic", or "earned" results

- How does Google determine where your business lies on Search Engine Results Page (SERP)?
  - Relevance
  - Authority
    - E.g., Backlinks: number of ppl referencing your content
  - Trustworthiness



Search Engine Advertising (SEA) : E.g., Google Ads

- **The advertiser is not paying for the ad to be displayed:** Compared to traditional advertising, cost is only incurred when an ad is clicked
- **PPC (Pay-per-click) advertising is highly targeted**
  - **Keyword bidding**
- **Predictable:** Unlike SEO, **T**raffic, rankings and results are generally stable and predictable in comparison with SEO
- **Technically simpler than SEO:** SEO requires long-term, technically complex work on on-page and off-page optimization
- **Speed:** PPC listings get posted quickly, usually in a few days. While SEO results can take weeks or months to be achieved
- Can be expensive with **bidding wars**

CPC vs CPM Advertising Models

- **CPC (Cost Per Click)**
- Advertisers pay **only when users click** on the ad
- Focus: **Driving traffic & actions**
- Best for: Performance marketing (e.g., e-commerce, lead generation)

CPM (Cost Per Mille/Thousand Impressions)

- Advertisers pay for **every 1,000 views** of the ad
- Focus: **Brand visibility & awareness**
- Best for: Awareness campaigns (e.g., display, video ads)

Reach Your Customers & Attract Them to Your Business

- Use combination of paid & unpaid media
- Strategize using the RACE Framework





Activity

- New small business: Waterproof shoes
- Local business based in Singapore
- Please answer the following:
  - What channel/channels would you use & why?
  - How would you use the RACE framework to attract, convert, retain & engage consumers?
    - E.g. Outbound/inbound media campaigns?
    - What keywords would you use?
    - What measures will you take to engage consumers?

Google

waterproof shoes

Shopping | Images | Women's | Mens | Singapore | Near Me | Running | Adidas | Nike | All filters | Tools

About 118,000,000 results (1.04 seconds)

Sponsored



Everlane Rain Boot in Tawn ...
$116.00
Everlane SG
★★★★½ (1k+)



Everlane Rain Boot in Black ...
$116.00
Everlane SG
★★★★½ (808)



Nike Pegasus Trail 4 GORE...
$245.00
Nike Official
★★★★½ (392)



ECCO Soft 7 W Slip-on GTX
$99.90
ECCO Shoes
★★★★½ (38)



Lavander
$139.90
Anothersole |...
Free delivery



Crocs Women's...
$99.95
Crocs Singa...
★★★★☆ (520)



Decathlon Women's...
$19.90 ~~$25~~
Decathlon Si...
★★★★½ (227)



Everlane Women's...
$36.00
Everlane SG
★★★★½ (177)

Sponsored

Vessi
https://ca.vessi.com › waterproof › shoes

Vessi Waterproof Shoes - Compact Shoes for Travel



Sneakers for everyday and any weather. You won't fear rain, snow, mud or slush ever again. Best **waterproof shoes** for any adventure. Perfect for everyday & any...
Women's Waterproof Shoes · Men's Waterproof Shoes · Kids Waterproof Shoes · FAQs

Sponsored

Decathlon SG
https://www.decathlon.sg › hiking-trekking

DECATHLON® Singapore - DECATHLON® - Waterproof Shoes

Hike in comfort with our **waterproof** hiking **boots**. For all kinds of trails, rain or shine. Hiking

Purchase a plan to see the Google metrics below

Find long-tail keywords for "keywords everywhere"

SEO Difficulty 100/100 Brand Query Yes

Off-Page Difficulty 98/100

ONLY $1.25 / MO

Trend Dat... ere (Global)

7d 30d 3mo 12mo Copy Export

2,500

Google

waterproof shoes in singapore

Images | Shopping | Best | Women's | Running | Men's | Leather | Decathlon | Columbia | All filters | Tools

About 22,700,000 results (0.38 seconds)

Results for **Singapore** · Choose area

Sponsored



Everlane Rain Boot in Tawn...
$116.00
Everlane SG
★★★★½ (1k+)
Boot · Casual · Wellington Boots



Crocs Women's...
$99.95
Crocs Singa...
★★★★☆ (520)
Faux Leather, Rubber · Almos...



ECCO Soft 7 W Slip-on GTX
$99.90
ECCO Shoes
★★★★½ (38)
Genuine Leather · Loafer · Casu...



Sunnystep - Balance...
$135.00
Sunnystep
Free delivery
Sneakers · Casual



Lavander
$139.90
Anothersole |...
Free delivery
Casual



Decathlon Women's...
$19.90 ~~$25~~
Decathlon Si...
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Mesh, Polyester · #9f9fa0,#ffffff ·...



Everlane Rain Boot in Black...
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Nike Pegasus Trail 4 GORE...
$245.00
Nike Official
★★★★½ (392)
Mesh, Rubber · Black/Reflect...

Decathlon SG
https://www.decathlon.sg › ... › Hiking & Trekking

Footwear - Hiking/Trekking Shoes & Boots

From **water resistant shoes** for day hikes to fully **waterproof** hiking **boots** for week long treks, choose from our high performing range of hiking **shoes**.
★★★★★ Rating: 4.9 · 93 votes



People also ask

What shoes are actually waterproof?
Are waterproof shoes actually waterproof?
What shoes are best in the rain?
Do waterproof sneakers exist?

Feedback

Bata Singapore
https://www.bata.com.sg › bata-women-waterproof

Bata's Women's Waterproof Shoes - Buy Online

Shop Bata **waterproof shoes** for women online at Bata **Singapore**. Enjoy FREE shipping on orders over $30.



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ONLY $1.25/MO

Trend Dat... ere (Global)

7d 30d 3mo 12mo

Copy Export

2,500
2,000
1,500
1,000
500
0

Search Volume

May 28 Jun 5 Jun 13 Jun 21

Introduction to Google Analytics (GA4)



Google Analytics (GA4)

- Google Analytics: a small piece of Javascript tracking code to collect data about your website, visitors and their interactions

- Measures traffic and engagement across your websites and apps

- Why Use GA4?
  - GA4 replaced Universal Analytics (UA) in July 2023
  - Like UA, GA4 is free as well

Some Terminology



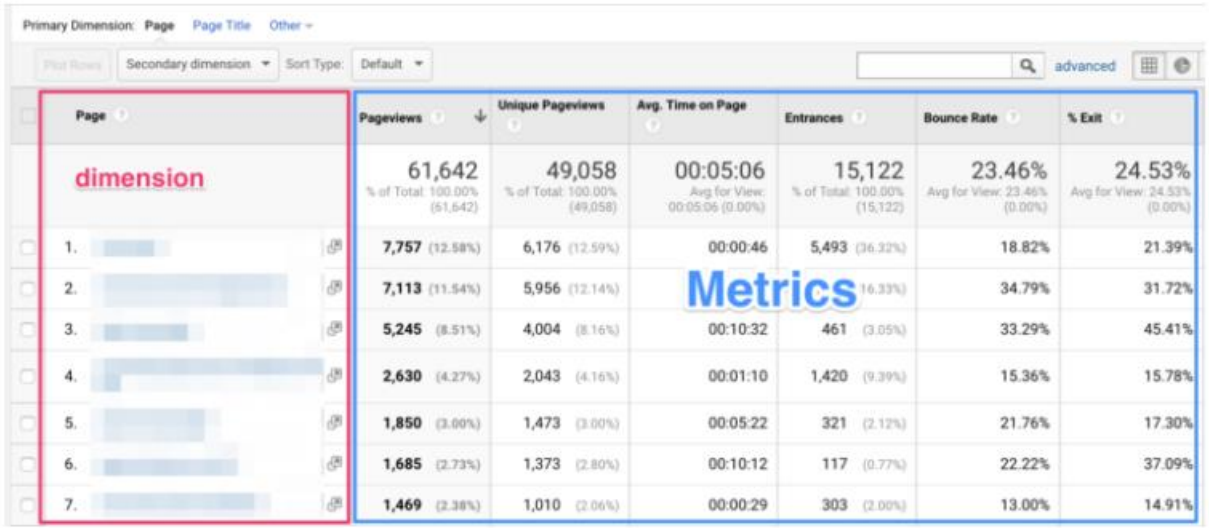


Image Source: Yoast

Variables

- Dimension: Descriptive attribute of the data
  - Makes up the rows in your traffic acquisition table
  - Gives context to metrics
  - Simple words: describe **what** or **who** the data is about

- Metrics: quantitative measurements of data
  - measure **how much** or **how many**

Classify into Dimensions & Metrics

- Traffic source: Google, Facebook, Direct
- Users
- Average session duration
- Device category : e.g., Mobile, Desktop, Tablet

Term	What it means
Property	Point of data collection for analytics Website/app
Event	User interaction on a website/app
Engaged Sessions	The number of sessions that lasted longer than 10 seconds, or had a key event, or had 2 or more screen or page views.
Engagement Rate	The percentage of sessions that were engaged sessions
Conversion (now called key event)	A completed activity that is important to you e.g., a completed sign-up for your email newsletter/ a purchase/addition to cart
Funnel Visualization	Visualization tool that maps the step a customer takes when visiting the website/app



Some Common Metrics in GA4

- Total Users = Total of all (unique) users that landed on your website/app
- Active users = All users who had an engaged session OR in their first session
- Active users < or > Total users?
- Active users always < Total Users



Some Common Metrics in GA4

- New users = Any user that has entered your site for the first time
- Returning users = Any user that has visited your website at least once before
- Total users < OR > OR = than Sum of (Returning + new users)?
- Total users < returning + new users
- Remember – a new user can return within the specified time range

Hit Type in Universal Analytics property	Measurement in Google Analytics 4 property
Page View	Event
Event	Event
Social	Event
Transaction/e-commerce	Event
User timing	Event
Exception	Event
App/screen view	Event

Image Source: Root & Branch

Key Differences Between GA4 & UA

- Event: Specific interaction or occurrence on your website/app
  - When a user loads a page, clicks a link, an exception occurs
- Goals have been replaced with “key events”
- Easier to combine data between website & app

Attribution

- **Attribution**= figuring out **which marketing channel deserves credit** for a conversion (like a purchase, sign-up, or download)
- Example: A customer first sees your **Instagram ad**, later clicks your **Google search ad**, and finally buys after an **email reminder**
- Attribution is about deciding: *Which of these touchpoints gets the credit for the sale?*

Generative Engine Optimization (GEO)

- Optimizing digital content so that a brand/content is more likely to be:

Found → Understood → Cited → Recommended by generative AI systems

- **SEO vs. GEO**

SEO
“How do I rank higher in search results?”

Vs.

- **GEO**
  “How do I become part of the AI-generated answer?”

Where Does ChatGPT Get Information?

Primary / Official Sources
Company websites • Government websites • Universities • Research institutions

Publishers & News
News organizations • Industry publications • Specialist websites

Other Web Sources
Blogs • Reviews • Forums • Product/business pages • Other publicly accessible webpages

Searches multiple sources and **synthesize information into a new response**

OpenAI says any public website can appear in ChatGPT Search if it is accessible to its search systems, although inclusion and ranking are not guaranteed.

What Should You Do for GEO?

SEO	GEO
Optimize for search engines	Optimize for generative AI answers
Aim for high search ranking	Aim for AI visibility, mentions & citations
Keywords are important	Topics, entities & context are important
Backlinks & authority matter	Credibility & authoritative sources matter
Goal: traffic & conversions	Goal: visibility + influence + traffic

Google just killed search as we know it

Google's biggest change to their Search box in over 25 years will see it transformed into a dynamically expanding, AI-powered conversational hub, ushering in the zero click era.

by Matthew Keegan



Reach Your Customers & Attract Them to Your Business

- Use combination of paid & unpaid media
- Strategize using the RACE Framework

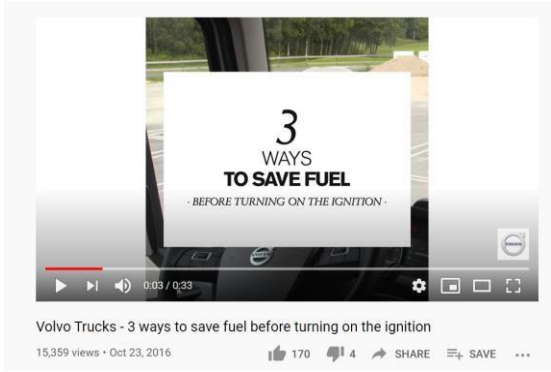


Remember: Your Goal is to Convert Visitors into Consumers

Content Marketing

- Objective: Reinforce brand affinities through relevant, informative, educational, useful or playful content







Why Is Content Creation Important?

Organic Traffic & SEO

- Content = keywords
- 71% of marketers say using strategic keywords was their number one strategy for SEO (HubSpot, 2021)

RACE

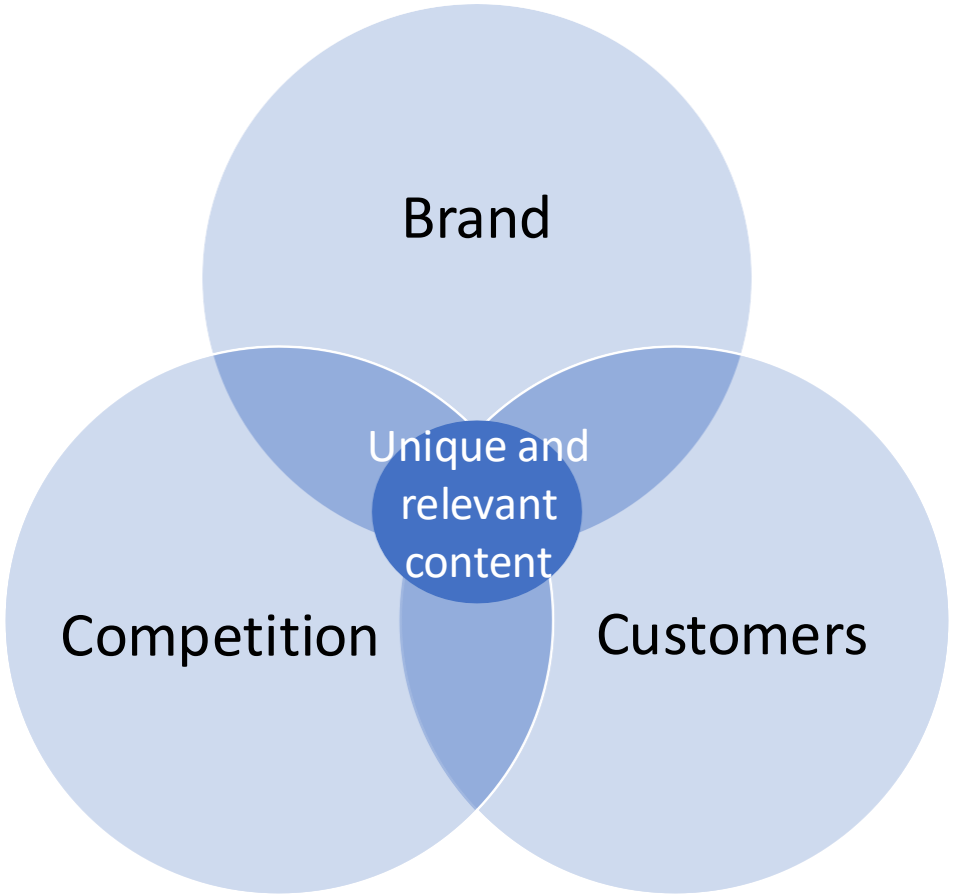
- Reach consumers: Most people consume 3+ pieces of content in their journey
- Lead Generation: Inbound leads cost significantly less than outbound leads
- Convert customers
  - Inbound leads are more likely to convert
  - Helps boost revenue
- Encourages earned media



Content Creation

- Starting point
  - Persona: Who are you targeting?
  - What do their customer journeys look like?
    - Please research!
    - Surveys, Qualitative interviews, focus groups, etc.
  - SEO keywords
  - What your competitors are doing?

Content Creation



What is Quality Content?

It talks to your visitors/leads/customers

- Needs, challenges, stage of the journey

It talks about who you are in a way that is…

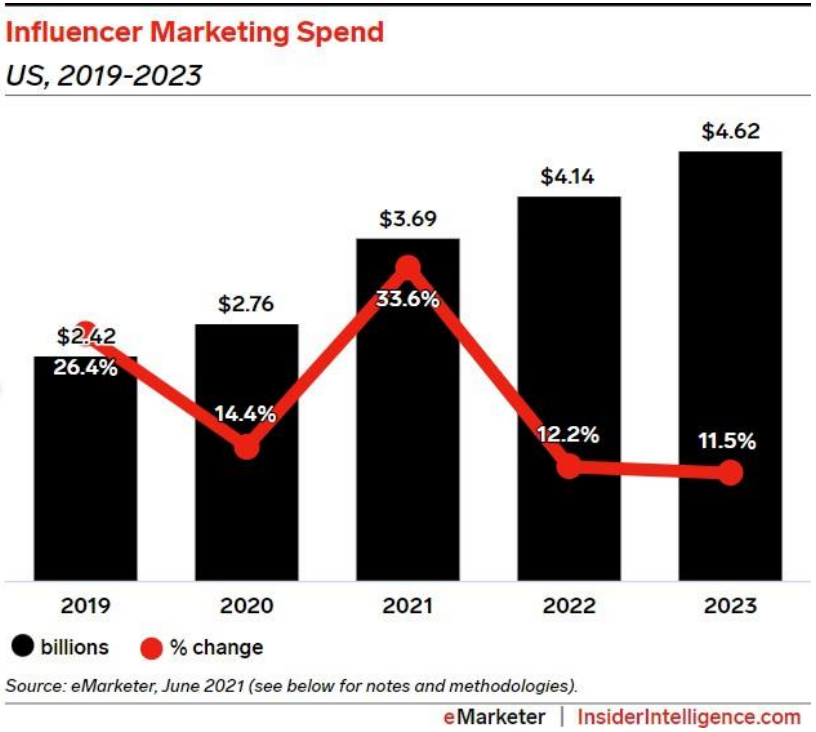
- Unique / different / create value for customers
- Aligned with the channel on which it is diffused
- Integrated through a content strategy

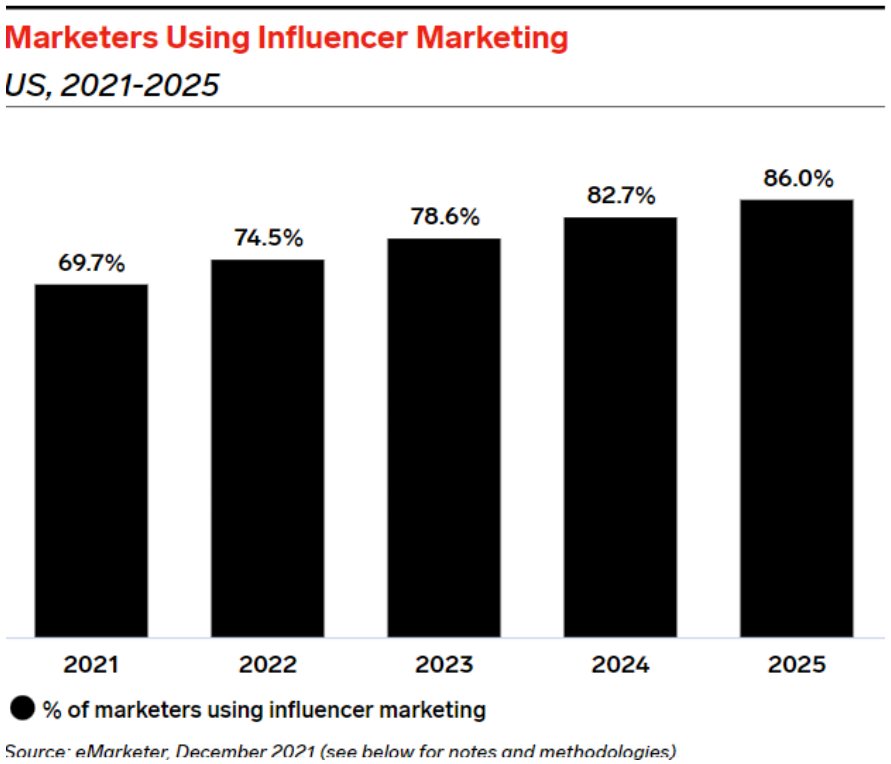


How to Create Content?

- Needs = Keywords = Topics
- Journey stages = different types of queries
  - Awareness = Informational
    - Less precise: best shoes for backpain
    - More precise: why is shock absorption in shoes important for backpain
  - Evaluation
  - Purchase

Influencer Marketing



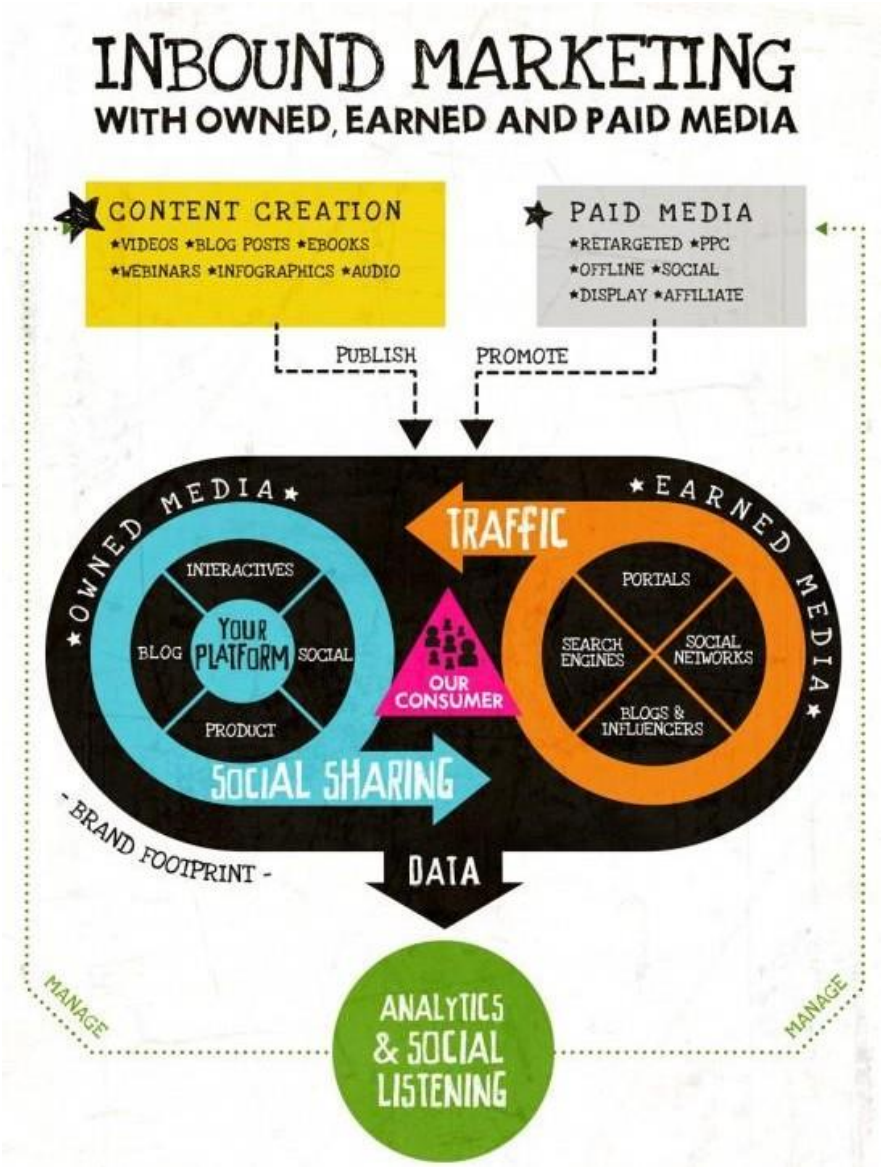



AFFILIATE PUTS YOUR AD ON THEIR WEBSITE.
CUSTOMER CLICKS & CONVERTS.
CONVERSIONS ARE TRACKED
AFFILIATE GETS A COMMISSION, YOU GET A SALE!
HOW DOES
AFFILIATE MARKETING
WORK?
$$$

Influencers

- Your own goal: brand awareness, conversion?
- Brand-Influencer Match
- Influencer’s reach
- Relevance
- Cost

Realize the Synergy Among the Three Types of Media



Digitization: Other Important Topics?

Ethics in Marketing



Consumers' increasing awareness of unethical conducts



Rules of conduct are needed to protect consumers



AMA's (American Marketing Association) Codes of Conduct

- A product must be safe
- The price must be fair
- Advertising must not use fraudulent or inaccurate arguments
- Etc.



Code of ethics

Ethical Issues in Influencer Marketing

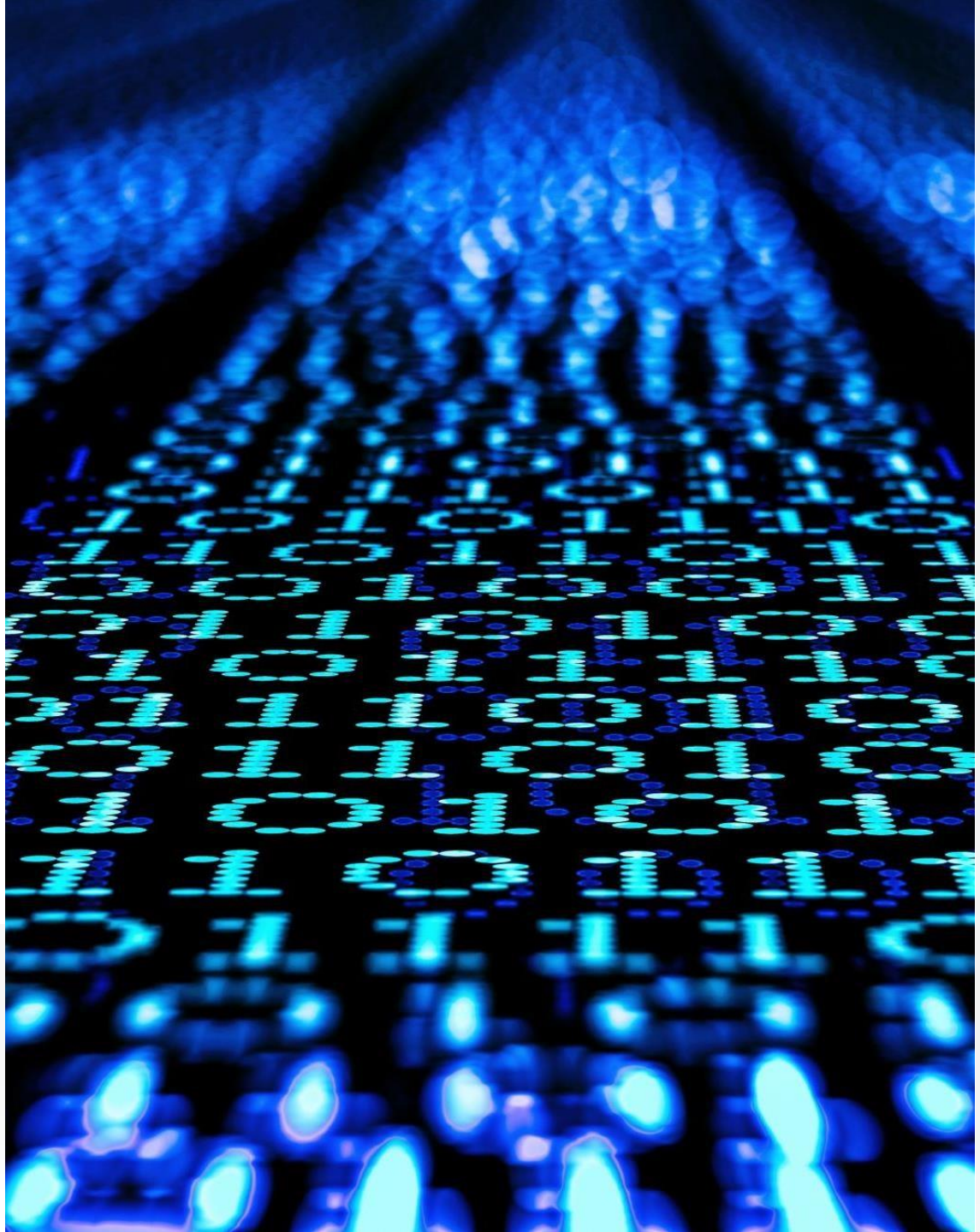

MIXED
MAKEUP

Marketing Automation Tools

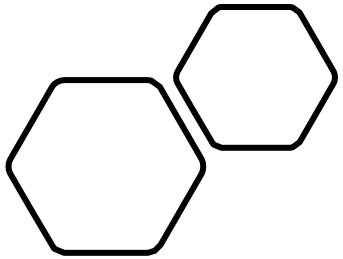
- Increases efficiency by streamlining and automating repetitive marketing tasks such as email actions, CRM updates, etc.
- Very useful to create personalized customer jourbeys for different personas
- E.g. HubSpot, Marketo, etc.



Privacy Concerns in Digital Marketing



Cookies

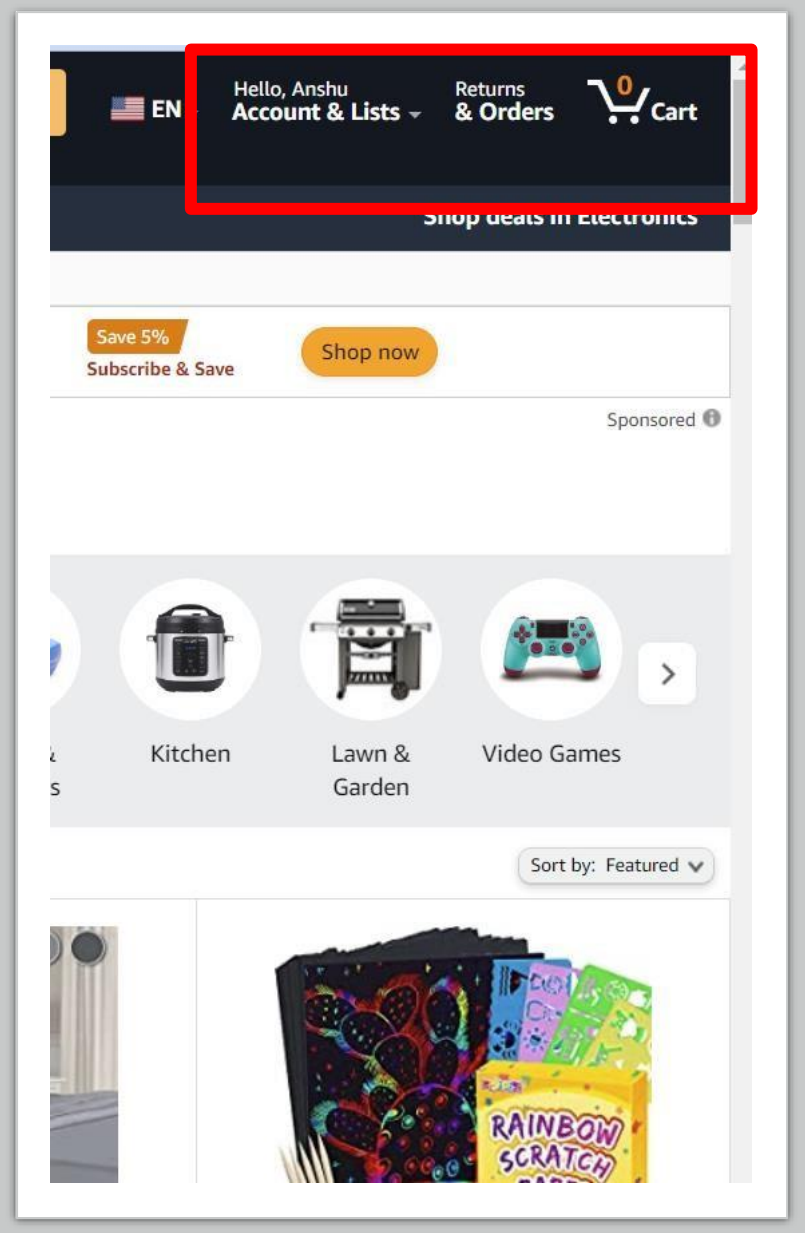


Small files that are placed on user’s device (browser) by a web server

First Party vs. Third Party Cookies

First-Party Cookies

- Directly stored by the website you visit
- Allow websites to collect analytics data, remember language settings, and perform other useful functions such as store shopping cart contents
- First-party cookies don’t leave the website
- Generally considered as “good cookies”



Third-Party Cookies

- Created by domains other than the one you are visiting directly
- Used to identify users across different websites for cross-site tracking
- Some browsers such as Safari & Firefox block third-party cookies by default



TECH / GOOGLE / CHROME

Google delays blocking third-party cookies in Chrome until 2023

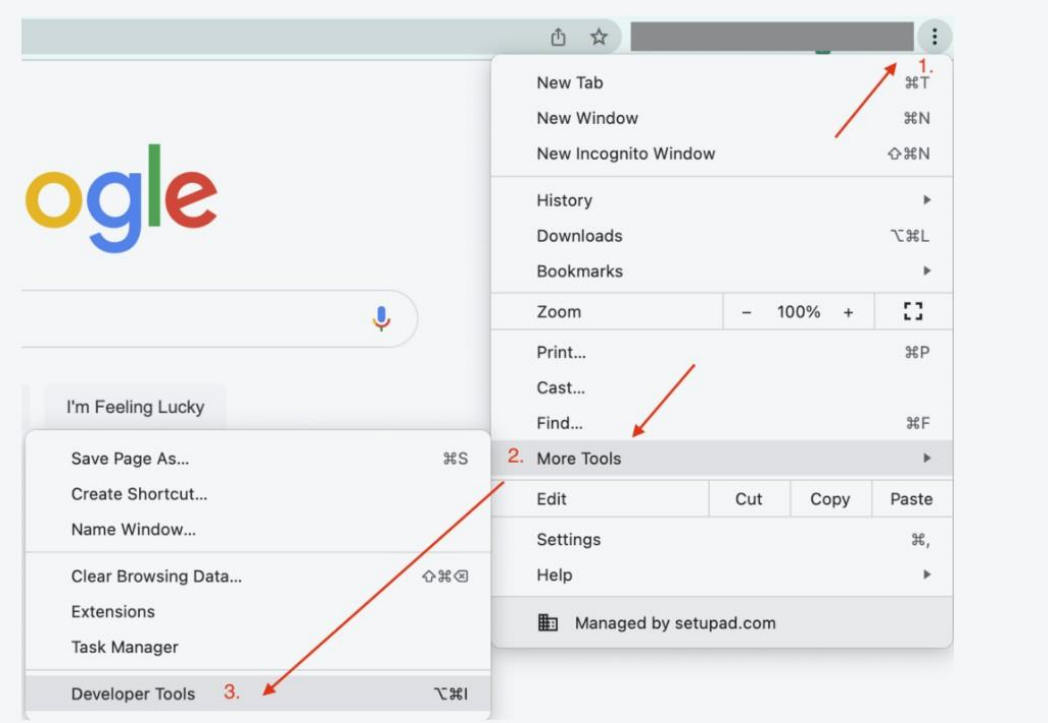
/ Google blinks under regulatory pressure

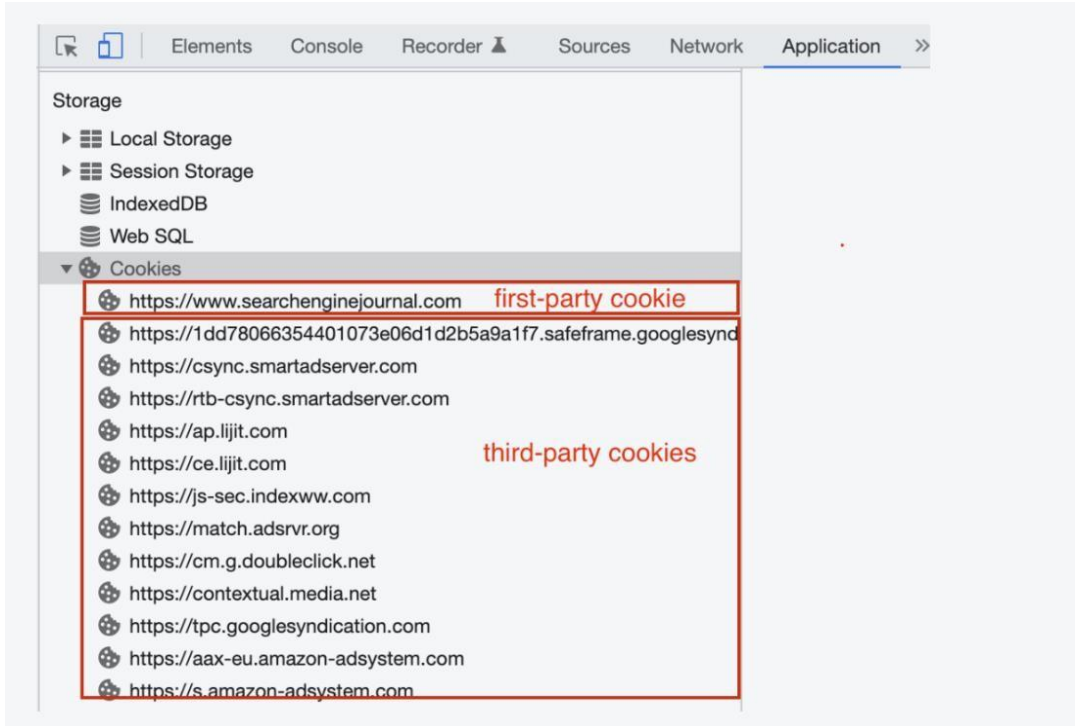
By DIETER BOHN / @backlon

Jun 24, 2021, 2:21 PM GMT+1 | 0 Comments / 0 New

Illustration by Alex Castro / The Verge

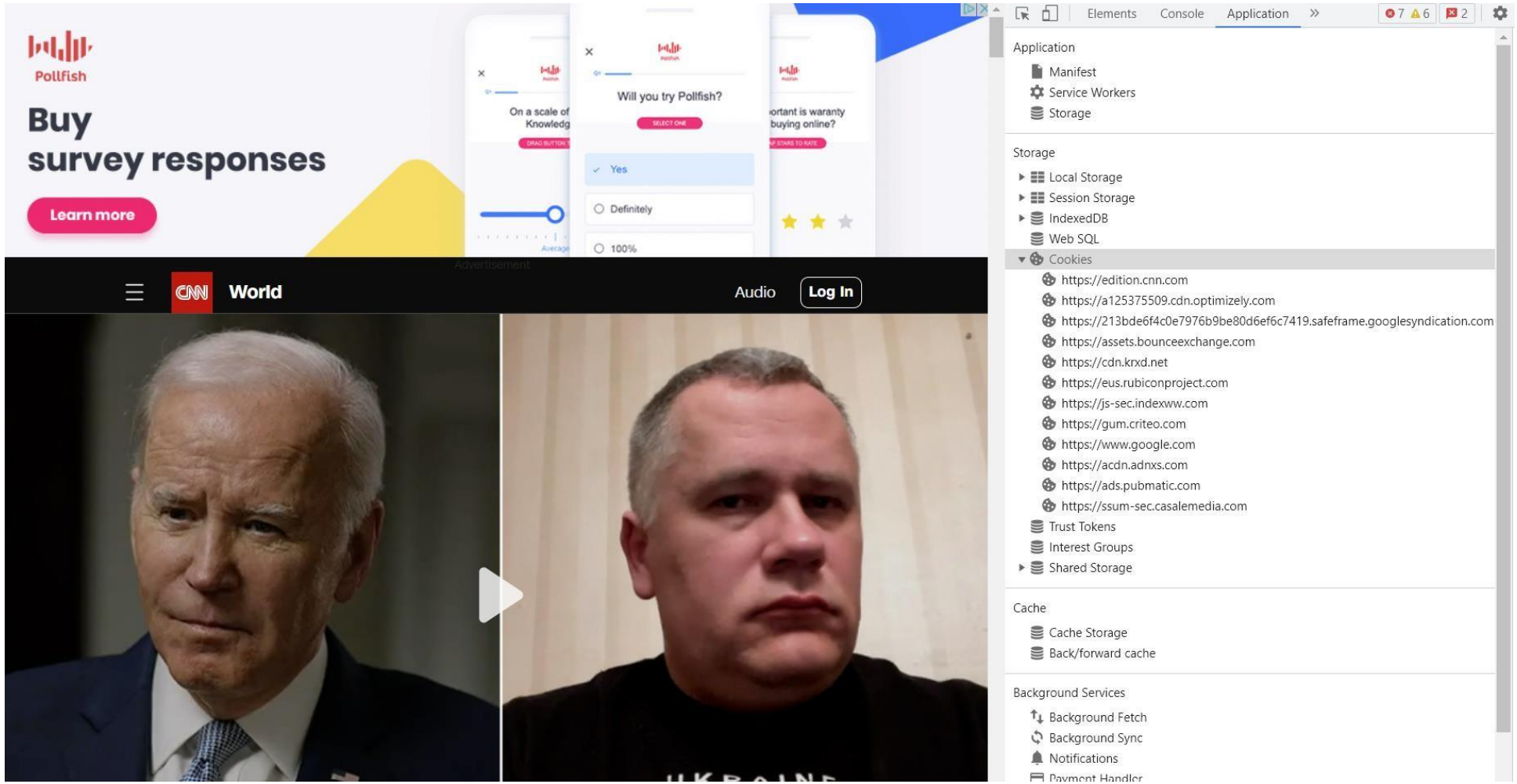
How to see third-party cookies?





Source: SetupAd Blog

Example: CNN


Pollfish
Buy
survey responses
Learn more
Will you try Pollfish?
Yes
Definitely
100%
Advertisement
CNN
World
Audio
Log In
Elements
Console
Application
Application
Manifest
Service Workers
Storage
Storage
Local Storage
Session Storage
IndexedDB
Web SQL
Cookies
https://edition.cnn.com
https://a125375509.cdn.optimizely.com
https://213bde6f4c0e7976b9be80d6ef6c7419.safeframe.googlesyndication.com
https://assets.bounceexchange.com
https://cdn.krxd.net
https://eus.rubiconproject.com
https://js-sec.indexww.com
https://gum.criteo.com
https://www.google.com
https://acdn.adnxs.com
https://ads.pubmatic.com
https://ssum-sec.casalemedia.com
Trust Tokens
Interest Groups
Shared Storage
Cache
Cache Storage
Back/forward cache
Background Services
Background Fetch
Background Sync
Notifications

Who Should be Responsible: Governments or Companies?



General Data Protection Regulation (GDPR) In Europe

- Came into effect on May 25, 2018

- Applies to any company that processes the personal data of EU citizens or residents, or offers goods or services to such people





Trends/Macrotrends

The Sharing Economy

An economic model where individuals share access to goods and services, often facilitated through digital platforms.

- **Key Features**
- Peer-to-peer (P2P) exchanges
- Asset underutilization turned into income (e.g., spare rooms, unused cars)
- Platform-mediated trust (ratings, reviews, payment systems)

Advantages

- Efficient use of resources
- Lower costs for consumers
- Flexibility & income opportunities for providers

Challenges

- Trust & safety concerns
- Regulatory issues
- Quality & consistency

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Full length article

This is not mine anymore: The dark side of collaborative consumption

Bo Huang [a,1,*], Anshu Suri [b,1], Ali Tezer [c], Sylvain Sénécal [c]

[a] Nottingham University Business School China, University of Nottingham Ningbo China, 199 Taikang East Road, Ningbo 315100, China
[b] Michael Smurfit Graduate Business School, University College Dublin, Carysfort Avenue, Blackrock, Ireland
[c] HEC Montréal, 3000 Chemin de la Côte-Sainte-Catherine, Montréal, Quebec H3T 2A7, Canada

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ABSTRACT

Extant research on collaborative consumption in the sharing economy generally focuses on consumers (those who consume such services) while overlooking an important actor: the peer service providers (those who provide these services by sharing their resources with other consumers). Through four studies, we show a potential detrimental side effect of collaborative consumption. Specifically, our results suggest that for peer service providers, sharing their assets leads to a greater perceived loss of psychological ownership of these assets. This phenomenon thus results in a potentially unsustainable outcome: faster disposal of the shared assets. The authors further show that this effect disappears when the asset is shared with in-group (vs. out-group) members. Lastly, the authors offer a practical and easily implementable solution that could avert this potentially detrimental phenomenon: To encourage service providers to personalize their assets, which restores their perceived psychological ownership. Together, these results advance the literature on the dark side of collaborative consumption and offer managerial insights into mitigating strategies.

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1. Introduction

As one of the most disruptive business trends affecting various sectors in the digital era, the sharing economy has shown remarkable resilience and continous potential. Major players in the sharing economy are poised to see their businesses grow for years to come. For instance, recent market research has reported that by 2028, the global sharing economy market is expected to grow at a Compound Annual Growth Rate (CAGR) of 32.01 % (Globe Newswire, 2023). More importantly, the ever-rising sharing economy has shifted traditional ways of consumption to a new form of collaborative consumption, which

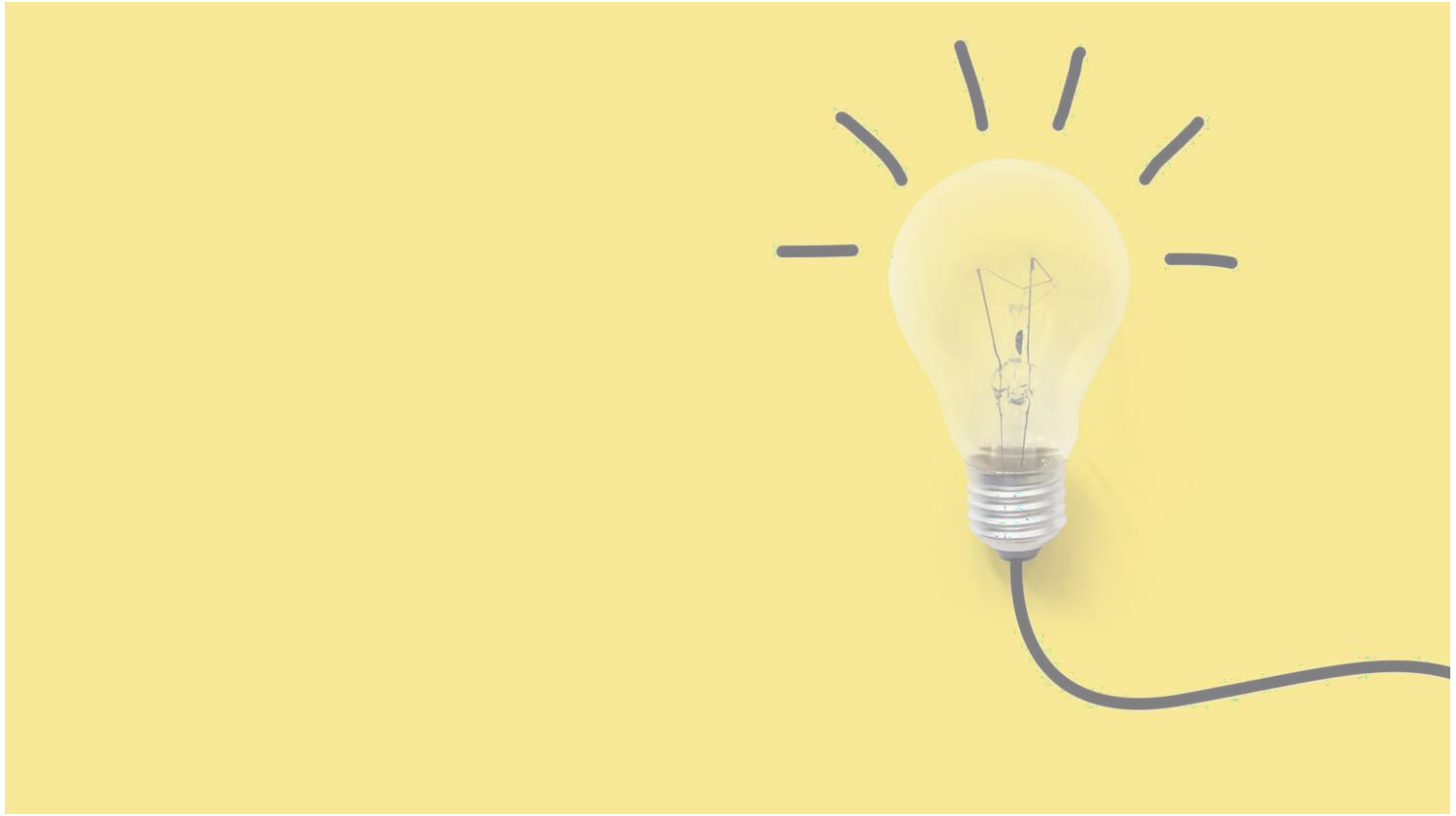


Artificial Intelligence

- The automation of activities that we associate with human thinking, activities such as decision-making, problem-solving, and learning (Bellman,1978)

- Intelligent machines and software that work and react like humans

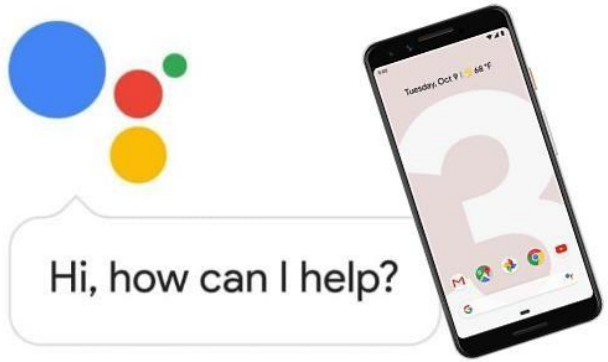
AI Will Not Replace Marketers But Marketers With AI Will



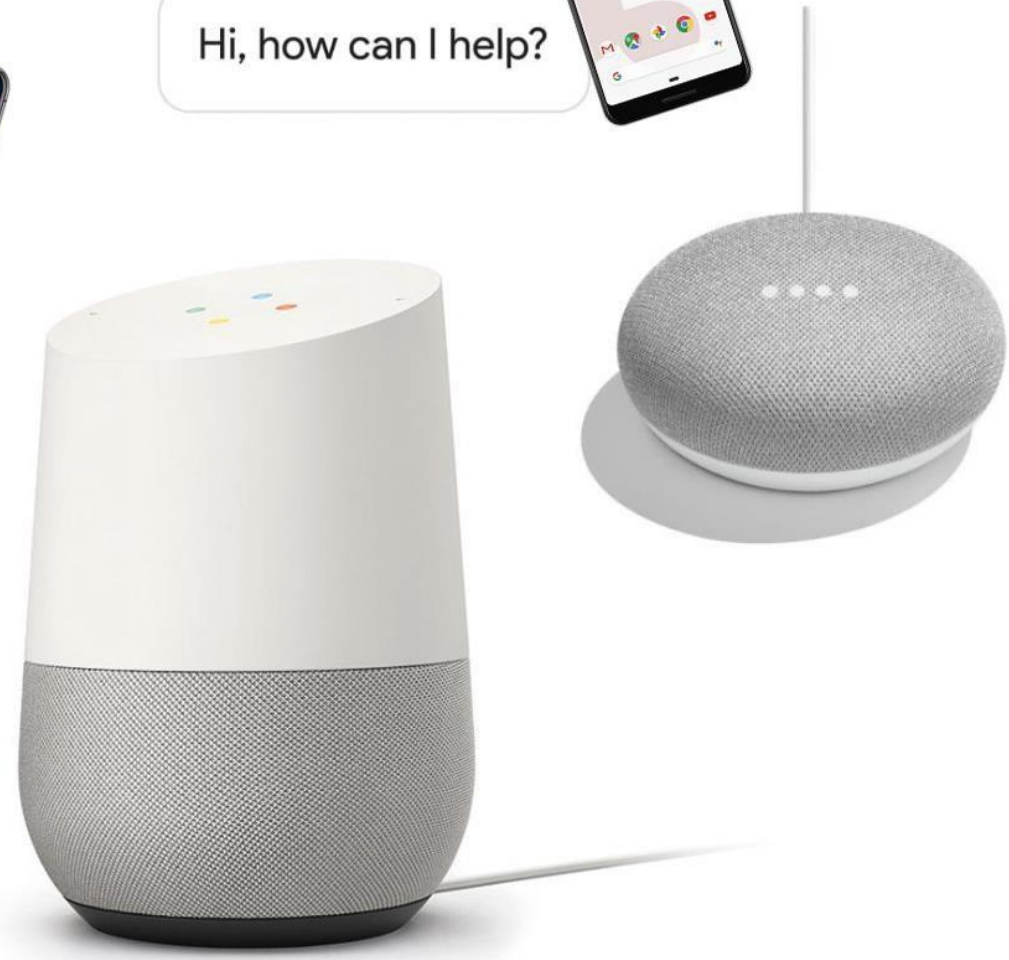
The Changing Nature of Search…











What Can You Do to Win the World of Marketing

- Keep up with the trends in marketing, especially the digital world
- Data-driven decisions
- Seek research for guidance

An Example of how Research Can Guide You



Scientific research by Barone, M. J., Coulter, K. S., & Li, X. (September 2020). The upside of down: Presenting a price in a low or high location influences how consumers evaluate it. *Journal of Retailing*.

Ariyh

- Where should you display the price?

- Down = Less
  “Rock bottom”

  Up = More
  “Sky high

Activity 1

- **Objective**: Use the RACE model to design a customer journey strategy.
- **Format**: Case: *A Singapore-based sustainable skincare startup* launching an eco-friendly face cream.
- **Task** (group work — 15–20 minutes):
  Map one concrete initiative (including KPIs & tactic) for each **RACE** stage:
- **Reach**: Which channels to attract customers?
- **Act**: How to encourage engagement?
- **Convert**: What tactics drive purchase?
- **Engage**: How to retain and build loyalty?
- Also include key message at each channel (emotional, moral, rational or conative)

Article

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Caffeine's Effects on Consumer Spending

Dipayan Biswas, Patrick Hartmann, Martin Eisend, Courtney Szocs, Bruna Jochims, Vanessa Apaolaza, Erik Hermann, Cristina M. López, and Adilson Borges

Abstract

Caffeine is the world's most popular stimulant and is consumed daily by a significant portion of the world's population through coffee, tea, soda, and energy drinks. Consumers often shop online and in physical stores immediately after or while consuming caffeine. This is further facilitated by the increasing prevalence of coffee shops and by the phenomenon of some retail stores having in-store coffee bars and offering complimentary caffeinated beverages. This research examines how caffeine consumption before shopping influences purchase behavior. The results of a series of experiments conducted in the field (at multiple retail stores across different countries) and in the lab show that consuming a caffeinated (vs. noncaffeinated) beverage before shopping enhances impulsivity in terms of more items purchased and higher spending. This effect is stronger for "high-hedonic" products and attenuated for "low-hedonic" products. These findings are important for managers to understand how a seemingly unrelated behavior (i.e., caffeine consumption) in and/or around the store affects spending. From a consumer perspective, although moderate amounts of caffeine consumption can have positive health benefits, there can be unintended negative financial consequences of caffeine intake on spending. Thus, consumers trying to control impulsive spending should avoid consuming caffeinated beverages before shopping.

Reviews: Which Stage of RACE?



Volume or Valence or Reviews?

Check for updates

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Sage

Overestimating Stars, Underestimating Numbers: The Hidden Impact of Rating Formats

Deepak Sirwani, Srishti Kumar, and Manoj Thomas

Abstract

Some retailers use stars while others use Arabic numerals to present product ratings. Do consumers evaluate product ratings differently depending on the format? Which format more accurately represents the true magnitude of ratings? Across 12 experiments, we find that neither format is veridical. Consumers overestimate fractional star ratings (e.g., ★★★½☆) and underestimate fractional Arabic numerals (e.g., 3.5). The overestimation of graphical ratings arises from the visual-completion effect: When the visual system perceives an incomplete image of a star, it instinctively activates the complete image, causing consumers to anchor their magnitude judgments on rounded-up numbers (i.e., evaluation of ★★★½☆ is anchored on ★★★★☆). Importantly, our results show that this overestimation of star ratings can be mitigated by using visually complete stars (e.g., ★★★◗). Conversely, the underestimation of Arabic numeral ratings stems from the left-digit effect, which leads consumers to anchor magnitude judgments on rounded-down numbers (i.e., evaluation of 3.5 is anchored on digit 3). Thus, both star and Arabic numeral ratings are systematically misestimated by consumers, with the extent of misestimation varying based on the fractional value and the star-filling technique employed. These findings demonstrate that prevalent rating formats are misleading, highlighting the need for new industry standards.

Customer Experience

What Happens When Companies Pay Customers to Write Reviews?

by Kaitlin Woolley and Marissa A. Sharif

June 25, 2021



Article

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SAGE

Featuring Mistakes: The Persuasive Impact of Purchase Mistakes in Online Reviews

Taly Reich and Sam J. Maglio

Abstract

Companies often feature positive consumer reviews on their websites and in their promotional materials in an attempt to increase sales. However, little is known about which particular positive reviews companies should leverage to optimize sales. Across four lab studies involving both hypothetical and real choices as well as field data from a retailer's website (Sephora), the authors find that consumers are more likely to purchase a product if it is recommended by a reviewer who has (vs. has not) made a prior purchase mistake. The authors define a purchase mistake as a self-identified suboptimal decision whereby people purchase a product that subsequently fails to meet a threshold level of expected performance. This persuasive advantage emerges because consumers perceive reviewers who admit a purchase mistake as having more expertise than even reviewers whose purchase experience has not been marred by mistakes. As a result, in marketers' attempts to increase the persuasive influence of reviews featured in their promotional materials, they may inadvertently decrease it by omitting the very information that would lead consumers to be more likely to purchase recommended products.

Thank You!